

COVER SHEET

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S.E.C. Registration Number

I	M	P	E	R	I	A	L		R	E	S	O	U	R	C	E	S	,	I	N	C	.							

(Company's Full Name)

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Q	U	E	Z	O	N		C	I	T	Y																		

(Business Address: No. Street City / Town Province)

JESUS VICENTE B. CAPELLAN

Contact Person

831-4719 / 724-2986

Company Telephone Number

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Month Day
Fiscal Year

SEC FORM 17-Q
Quarterly Report as of September 30, 2025

Form Type

0	9		
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Month Day
Annual Meeting

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Secondary License Type, If Applicable

I	C	T	D
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Amended Articles Number/Section

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Total No. of Stockholders

Total Amount of Borrowings

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Domestic

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Foreign

To be accomplished by SEC Personnel concerned

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File Number

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IMPERIAL RESOURCES, INCORPORATED AND SUBSIDIARY

Consolidated Statements of Financial Position

September 30, 2025 and December 31, 2024

Amounts in Philippine Peso

	September 30 2025	* December 31 2024
A S S E T S		
Current assets		
Cash and cash equivalents	P 3,013,818	2,982,751
Other receivables	0	29,836
Prepayments	0	19,756
Total current assets	3,013,818	3,032,343
Non current-assets		
Financial assets at FVOCI	80,000	80,000
Property and equipment, net	2,080	2,083
Investment property	1,035,000,000	1,035,000,000
Deferred Tax Asset	1,058,906	1,058,906
Total non-current assets	1,036,140,987	1,036,140,989
TOTAL ASSETS	P 1,039,154,805	1,039,173,332
LIABILITIES AND EQUITY		
Current liabilities		
Accruals and other payables	P 2,533,241	2,913,269
Income tax payable	-	117
Total current liabilities	P 2,533,241	2,913,386
Non-current liabilities		
Retirement benefits payable	4,235,626	4,235,626
Advances from stockholders	79,204,840	74,594,840
Total non-current liabilities	83,440,466	78,830,466
TOTAL LIABILITIES	85,973,707	81,743,852
Total Equity Attributable to the Owners of the Parent		
Share Capital	636,564,296	636,563,546
Remeasurement gain (loss) on retirement benefits pay.	333,171	333,171
Retained earnings / (Deficit)	316,538,324	320,785,609
	953,435,791	957,682,326
Non-controlling Interest	(254,693)	(252,846)
TOTAL EQUITY	953,181,098	957,429,480
TOTAL LIABILITIES AND EQUITY	P 1,039,154,805	1,039,173,332

* Unaudited

** Audited

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IMPERIAL RESOURCES, INCORPORATED AND SUBSIDIARY**Consolidated Statements of Changes in Equity****(Unaudited)****SEPTEMBER 30, 2025 and 2024**

	Amounts in Philippine Peso	
	September 2025	December 31 2024
EQUITY		
Capital stock - par value - P1.00 for 2025 and 2024		
Authorized - 1,800,000,000 shares for 2025 and 2024		
Common Stock - 1,8000,000,000 shares for 2025 and 2024		
Common Stock - Issued and outstanding - 230,644,195 for 2025 and 230,643,195 for 2024		
Balance at beginning of year	P 230,643,195	P 230,643,195
Issued	1,000	-
Balance at end of period	230,644,195	230,643,195
Common Stock - subscribed capital stock - 421,855,805 shares for 2025 and 421,856,805 for 2024		
Balance at beginning of year	421,856,805	421,856,805
Addition (Deduction) - net	(1,000)	-
Balance at end of period	421,855,805	421,856,805
Less: subscription receivable		
Balance at beginning of year	15,936,454	15,936,454
Addition (Deduction) - net	(750)	-
Balance at end of period	15,935,704	15,936,454
Total share capital	405,920,101	405,920,351
Remeasurement of retirement benefits payable	636,564,296	636,563,546
Retained Earnings	333,171	333,171
Balance at the beginning of year	320,785,609	241,549,445
Comprehensive loss for the period	(4,247,285)	79,236,164
Balance at the end of the period	316,538,324	320,785,609
Non-Controlling interest	(254,693)	(252,846)
TOTAL EQUITY	P 953,181,098	P 957,429,480

IMPERIAL RESOURCES, CORPORATION
Consolidated Statement of Comprehensive Income
(Unaudited)
For the Nine (9) Months Ended, September 30, 2025 and 2024
and For the Quarters Ended, September 30, 2025 and 2024

	Amounts in the Philippine Peso			
	For the Nine Months ended September 30		For the Three Months ended September 30	
	2025	2024	2025	2024
INCOME				
Interest Income	P 913	P 6,860	265	6,308
ADMINISTRATIVE EXPENSES				
Salaries and Wages	1,873,638	1,840,767	618,935	621,997
Director's Fees	235,000	225,000	105,000	105,000
Professional Fees	182,160	120,960	50,400	40,320
Utilities	410,559	379,199	145,204	130,500
Rental	644,747	639,329	215,819	213,110
Repairs and Maintenance	100,340	101,775	28,280	42,620
Transportation and Travel	76,762	39,501	30,635	17,928
Dues, and Subscription	321,632	313,206	17,815	13,841
Miscellaneous	72,654	63,840	32,449	43,605
Security services	153,000	145,000	51,000	43,000
Supplies and other Office Expenses	26,502	26,257	2,911	2,914
SSS, PHIC and HDMF Contributions	52,960	59,173	17,655	22,500
Taxes and Licenses	74,144	72,316	13,695	11,885
Insurance	25,948	33,857	2,516	7,878
	4,250,046	4,060,178	1,332,314	1,317,097
LOSS FROM THE OPERATIONS	(4,249,133)	(4,053,318)	(1,332,049)	(1,310,789)
OTHER COMPREHENSIVE INCOME (LOSS)	-	-	-	-
TOTAL COMPREHENSIVE INCOME (LOSS)	(4,249,133) P	(4,053,318)	(1,332,049)	(1,310,789)
LOSS FOR THE QUARTER				
ATTRIBUTABLE TO:				
Owners of the Parent	(4,247,285.42)	(4,051,630)	(1,331,486)	(1,310,261)
Non-Controlling Interest	(1,847)	(1,689)	(563)	(528)
	(4,249,133) P	(4,053,318)	(1,332,049)	(1,310,789)
LOSS PER SHARE	(0.007)	(0.006)	(0.002)	(0.002)

Consolidated Statements of Cash Flows
(Unaudited)
For the Nine (9) Month Ended September 30, 2025 and 2024

Amounts in Philippine Peso

	September 30	September 30
	2025	2024
Cash Flows from Operating Activities		
Net loss from Operations	P (4,249,133)	P (4,053,318)
Adjustments for Interest Income	(913)	(6,860)
Decrease (Increase) in :		
Receivables	29,836	(52,876)
Prepayments	19,756	18,833
Increase (Decrease) in :		
Accruals and other Payables	(380,145)	(717,500)
Cash Used in Operating Activities	<u>(4,580,599)</u>	<u>(4,811,721)</u>
Interest Income Received	<u>913</u>	<u>6,860</u>
Net Cash Used in Operating Activities	<u>(4,579,686)</u>	<u>(4,804,861)</u>
Cash Flows from Investing Activities		
Decrease (Increase) in :		
Property and Equipment		(2,500)
Net Cash Used in Investing Activities	<u>-</u>	<u>(2,500)</u>
Cash Flows from Financial Activities		
Additonal Paid up Capital		
Increase in advances from stockholders	4,610,000	4,450,000
Share Capital	<u>750</u>	<u>-</u>
Net Cash Provided from Financial Activities	<u>4,610,750</u>	<u>4,450,000</u>
Net Increase (Decrease) in Cash and Cash Equivalents	<u>31,067</u>	<u>(357,361)</u>
Cash and Cash Equivalents at the Beginning of the Period	<u>2,982,751</u>	<u>3,190,974</u>
Cash and Cash Equivalents at the End of the Period	<u><u>P 3,013,818</u></u>	<u><u>P 2,833,613</u></u>

IMPERIAL RESOURCES, INCORPORATED AND SUBSIDIARY

Aging of Accounts Receivable

(Unaudited)

As of September 30, 2025

Trade and other Receivables -			
Advances to employees for liquidation	P	-	
Loans to Employees and other companies	P	-	
SSS Maternity Benefit	P	-	
Total		<u>P</u>	<u>-</u>

1) Aging of accounts receivable

Type of accounts receivable	Total	1 Month	2-3 Mos.	4-6 Mos.	7 Mos To 1 Year	1-2 Years	3-5 Years	5 Years- above	Past due accounts & Items in Litigation
a) Trade receivables									
1) Trade receivables	-	-	-	-	-	-	-	-	-
b) Non-trade receivables									
1) Loan to employees	-		-	-				-	
2) Maternity Benefit-SSS	-	-	-	-	-				
Advances to employees	-	-	-	-	-				
Non-trade receivable	-	-	-	-	-	-	-	-	-
Total accounts receivable (net)	<u>-</u>								

2) Accounts receivable description

Type of receivable	Nature/Description	Collection Period
1)		

3) Normal Operating Cycle : Calendar Year (12 months)

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1 For the quarterly period ended: **September 30, 2025**

2 Commission identification number: **39243**

3 BIR Tax Identification No.: **000-463-670**

4 Exact name of issuer as specified in its charter

IMPERIAL RESOURCES, INC.

5 Province, country or other jurisdiction of incorporation or organization

Metro Manila, Philippines

6 Industry Classification Code: (SEC Use Only)

7 Address of issuer's principal office

Postal Code

**Unit 202 Villa Building, No. 78 Jupiter Street corner Makati Avenue, Barangay Bel-Air,
Makati City 1200**

8 Issuer's telephone number, including area code

(632) 724-2986

9 Former name, former address, and former fiscal year, if changed since last report

10 Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
Common Voting Shares – P1.00 par value	652,500,000 Six Hundred Fifty-Two Million Five Hundred Thousand Voting Shares
	There are no debt securities
	Amount of Debt Outstanding P85,970,707

One Hundred Fifty Million (150,000,000) Common voting shares are exempted from registration

1 Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

Common Voting Shares

The original Twenty Million (20,000,000) shares of stock consisting of Fourteen Million (14,000,000) Common Class "A" shares and Six Million (6,000,000) Common Class "B" shares are listed in the Philippine Stock Exchange. After the approval of the change in par value from P5.00 to P1.00 and declassification of Class "A" and Class "B" into Common Stock by the Securities and Exchange Commission on February 10, 2017, the Common Stocks shares listed with Philippine Stock Exchange has become 100,000,000 shares.

Inasmuch as the company desires to increase its listed shares in the Philippine Stock Exchange (PSE), the majority of the issued and outstanding shares of stocks of Imperial Resources, Incorporated, in the number of Five hundred Forty-Six Million Two Hundred Thirty-three Thousand Six Hundred Seventy (546,233,670) common shares, which consist of Eight Three point Seven One Four Percent (83.714%), is the subject of probate proceedings, entitled: IN RE: Petition for the Will of Oliverio G. Laperal, Sr., Desiderio Christopher L. Laperal, petitioner, pending before the Regional Trial Court, Branch 148, Reginal Trial Court, Makati City.

Once the probate court allows and approves the administration and disposition of the estate, including the said shares of stocks of Oliverio G. Laperal, Sr. the company shall endeavor to work on the listing requirements of PSE.

2 Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

- (b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

PART I--FINANCIAL INFORMATION

Item 1. FINANCIAL STATEMENTS

1. The Financial Statements are as follows:

- a) Consolidated Statements of Financial Position as of September 30, 2025 (Unaudited) and December 31, 2024 (Audited).
- b) Unaudited Consolidated Statements of Changes in Equity for the Nine (9) Months Ended September 30, 2025 and 2024.
- c) Unaudited Consolidated Statements of Comprehensive Income for the Quarters Ended September 30, 2025 and 2024 and for the Nine (9) Months Ended September 30, 2025 and 2024.
- d) Unaudited Consolidated Statements of Cash Flows for the Nine (9) Months Ended September 30, 2025 and 2024.
- e) Aging of Accounts Receivable as of September 30, 2025

Item 2. ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

During the third quarter of 2025 the data provided by the Philippine Stock Exchange on the trading of the Company's shares of stock Parent Entity (IMP), showed that the shares traded at a high of P0.78, low at P0.045, and closed at P0.68 with a total volume of 720,000 shares. On the other hand, during the third quarter of 2024, the shares traded at a high of P0.79, low at P0.58 and closed at P0.58 with a volume of 223,400 shares.

During the third quarter of 2025 a stockholder made a cash advance to the Company in the amount of P1.3 million which was used to cover the administrative expenses for the said quarter amounting to P1.32 Interest income earned during this period was very negligible.

The Group did not dispose any asset of material amount during the quarter nor does it plan to in the succeeding quarters. It has not budgeted nor committed any substantial amount for material or capital expenditures for the coming quarters. Any amount needed for the Group's operation will be funded by major stockholders, hence, the Group will not encounter any cash problem in continuing its operations.

The Company had its annual stockholders' meeting on July 10, 2025. All the members of the Board were re-elected including the two (2) independent directors. After the annual stockholders' meeting the newly elected members of the Board held an organizational meeting electing the company officers for the year 2025.

Based on the unaudited consolidated statements of financial position as at September 30, 2025 and audited consolidated statements of financial position as at December 31, 2024, presented below are the material (5% or more) changes and their causes:

1. Receivables -

Included in this account are accrued interest receivable and loans to employees. All the receivables as of December 31, 2024 were paid during the first three quarters of 2025, hence, The 100% decrease during the period covered by this report.

2. Prepayments -

The amount of P19.7 thousand prepayment set up on December 31, 2024 was fully expensed during the first three quarters of 2025, hence, the decrease of 100%.

3. Accruals and other payables -

Some of the accrued expense payables set up on December 31, 2024 were settled during the first three quarters of 2025, hence, the 13% or about P380 thousand decrease as of September 30, 2025.

4. Advances from stockholders -

A stockholder made a total cash advance during the first three quarters of 2025 in the amount of P4.61 million which increased the account by about 6%.

5. Income Tax Payable-

The income tax payable as of December 31, 2024 was paid during the third quarter of 2025, hence, the 100% decrease.

The following are the material changes (5% or more) in the income and expense accounts during the third quarter of year 2025 compared with the same period in year 2024 as presented in the Consolidated Statements of Comprehensive Income for the nine (9) months and three (3) months ended September 30, 2025 and 2024 and the reasons for such changes:

A. Income Account

1. Interest Income -

This account decreased during the 3rd quarter of 2025 by about 96% or P6 thousand pesos because there was interest income earned on the salary loan granted to an employee during the 3rd quarter of 2024 while there was none in the period covered by this report.

B. Administrative Expenses Account

1. Repairs & Maintenance -

There was an decrease by about 34% or P14.3 thousand during the third quarter of 2025 compared with figure for the same period in 2024 because there were major repairs done on two (2) of the company vehicles during the 3rd

quarter in 2024. There was none during the period covered by this report.

2. Transportation & Travel -

This account which includes gasoline and oil increased by about 71% or P12.7 thousand during the 3rd quarter of 2025 because of the increase in the consumption and cost of gasoline compared with the same period in 2024.

3. Dues & Subscription –

During the third quarter of 2025 this account increased by 29% or P3.9 thousand compared with the figure for the same period in 2024. This increase represents the expensed portion of the prepaid dues set up on December 31, 2024.

4. Miscellaneous –

This account decreased by about 26% or P11 thousand during the 3rd quarter of 2025. A donation to the family of the one of the directors whose father died was paid during the 3rd quarter of 2024. None of this nature was paid in the 3rd quarter of 2025 resulting to the decrease in miscellaneous expense account during the 3rd quarter of 2025.

6. SSS, PHIC and HDMF contribution –

The decrease of 22% or about P4.8 thousand during the third quarter of 2025 compared with the figure for the same period in 2024 was due to the retirement of one (1) employee.

7. Taxes and Licenses -

The increase of about 15% or P1.8 thousand was caused by the registration of one (1) company vehicle after the 3rd quarter of 2024 unlike in the 3rd quarter of 2025 wherein it was registered within the 3rd quarter.

8. Professional Fee –

There was an increase during the 3rd quarter of 2025 by about 25% or P10 thousand due to the increase in the professional fee paid to the company stock transfer agent since May, 2025.

9. Utilities –

There was an increase of about 11% or P14.7 thousand in the 3rd quarter of 2025 because of the increase in the consumption of water and electricity.

10. Security Expense –

This account increased by about 19% or P8 thousand during the 3rd quarter of 2025 because the payment for the security services fee for the Baguio City property of Philippine Cyber College Corp. for the 3rd quarter of 2024 was paid in October 2024, while the security service fee for the month of September, 2025 was paid in the September, 2025.

11. Insurance –

This account decreased by about 68% or P5 thousand during the 3rd quarter of 2025 because the insurance premium of two (2) company vehicles were paid in October, 2025.

THE GROUPS FINANCIAL SOUNDNESS INDICATORS

Presented below are the Financial Soundness Indicators used by the Group for the 3rd quarter of 2025, December 31, 2024, and September 30, 2025:

	September 30, 2025		December 31, 2024		September 30, 2024	
(i) Current/liquidity ratios:						
$\frac{\text{Current assets}}{\text{Current liabilities}}$	$\frac{3,013,818}{2,533,341} =$	1.19:1	$\frac{3,035,343}{2,913,386} =$	1.04:1	$\frac{2,908,166}{2,001,886} =$	1.45:1
(ii) Debt-to-equity ratios:						
$\frac{\text{Total liabilities}}{\text{Equity}}$	$\frac{85,973,707}{953,181,098} =$	0.09:1	$\frac{81,743,852}{957,429,480} =$	0.09:1	$\frac{78,904,098}{873,960,027} =$	0.09:1
(iii) Solvency ratios:						
$\frac{\text{Total liabilities}}{\text{Total assets}}$	$\frac{85,973,707}{1,039,154,805} =$	0.08:1	$\frac{81,743,852}{1,039,173,332} =$	0.08:1	$\frac{78,904,098}{952,864,125} =$	0.08:1
(iv) Asset-to-equity ratios:						
$\frac{\text{Total assets}}{\text{Equity}}$	$\frac{1,039,154,805}{953,181,098} =$	1.09:1	$\frac{1,039,173,332}{957,429,480} =$	1.09:1	$\frac{952,864,125}{873,960,027} =$	1.09:1
(v) Interest rate coverage ratios (Earnings before interest and taxes/Interest expense):						
This ratio is not applicable since the Company has no interest expense.						
(vi) Profitability ratios (Net profit after taxes/Revenues before cost of services):						
This ratio is not applicable since the parent entity and subsidiary have no revenues.						

2. Notes to Interim Financial Statements and Other Required Disclosures

- a. The Group's unaudited interim financial statements as of September 30, 2025 presented in this report have been prepared in conformity with generally accepted accounting principles. The same have been prepared in accordance with the Philippine Financial Reporting Standards (PFRS) and Philippine Accounting Standards (PAS). The same accounting policies and methods of computation were followed in the unaudited interim financial statements as compared with the Company's audited financial statements as of December 31, 2024.
- b. There were no items affecting assets, liabilities, equity, net income, or cash flows considered unusual because of their nature, size, or incidents aside from what is disclosed in the "Analysis of Financial Condition and Results of Operation" portion.

- c. The Group did not use estimates of amounts in its interim period reports covering the 3rd quarter of the year 2025 and end of the year 2024, hence, no changes that have material effect in the current interim period can be reported.
- d. The Group has no issuances, repurchases and repayments of debt and equity securities. It has no short-term or long-term promissory notes. Therefore, it has no interest expense nor amortization of debt discount and expense or premium.
- e. There has been no changes in the composition of the Group during the interim period covered by this report, including business combinations, acquisition or disposal of subsidiaries and long-term investments, and restructurings.
- f. The Group has no contingent liabilities or contingent assets since December 31, 2024.
- g. There are no material contingencies and any other events or transactions that are material to an understanding of the current interim period.
- h. There were no material segment revenue and segment business results during the period covered by this report.
- i. There has been no cash or stock dividends paid by the Group since their incorporation.
- j. Certain accounts have been reclassified and comparative figures have been adjusted to conform with the presentation of the Consolidated Financial Statements as of December 31, 2024. The accounting policies adopted in the preparation of the consolidated financial statements as of December 31, 2024 and interim financial statements as of September 30, 2025 are consistent with those of the previous financial year except for the adoption of the following new and amended standards and interpretations, which became effective beginning January 1, 2024. The adoption of these new and amended standards and interpretations did not have significant impact on the Parent entity and Subsidiary's financial statements.

BASIS OF PREPARATION, STATEMENT OF COMPLIANCE AND MATERIAL ACCOUNTING POLICY INFORMATION

The significant accounting policies applied in the preparation of these consolidated financial statements are set out below to facilitate an understanding of the data presented in the consolidated financial statements. These policies have been consistently applied, unless otherwise stated.

3.1 Basis of preparation and statement of compliance

The accompanying consolidated financial statements have been prepared in accordance with Philippine Financial Reporting Standards (PFRS). The term PFRS in general includes all applicable PFRS, Philippine Accounting Standards (PAS) and interpretations of the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC) and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the Financial Reporting Standards Council (FRSC) and adopted by the SEC.

These financial statements have been prepared under the historical cost convention, except for certain financial assets measured at fair value. The financial statements are presented in Philippine Peso, the Group's functional currency.

The preparation of the consolidated financial statements in conformity with PFRS requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Group's accounting policies.

Basis of Consolidation

These consolidated financial statements consist of the financial statements of Parent Company and its Subsidiary. The financial statements of the Subsidiary are prepared for the same reporting period as the Parent Company using consistent accounting policies.

<i>Subsidiary</i>	Principal place of business	Principal activities	<u>Effective ownership</u>	
			2024	2023
PCCC	Philippines	Technical vocational education	100%	100%

A subsidiary is an entity that is controlled by another entity. Control is when the latter is exposed or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the subsidiary.

The Parent Company has the power to govern the financial reporting policies generally accompanying a shareholding of more than one-half of the voting rights of the Subsidiary. The Parent Company obtains and exercises control through voting rights. The existence and effect of potential voting rights that are currently exercisable and convertible are considered when assessing whether the Parent Company controls another company. Consolidation begins from the date the Parent Company obtains control of the Subsidiary and ceases when it loses control.

All intragroup balances, income and expenses and unrealized gains and losses from intragroup transactions are eliminated in full.

Non-controlling Interest (NCI)

NCI represents the portion of profit or loss and other comprehensive income and the net assets not held by the Parent Company and are presented separately in the consolidated statements of comprehensive income and within equity in the consolidated statements of financial position, separately from the equity holders of the Parent Company. Transactions with NCI are accounted for using the entity concept method, whereby the difference between the consideration and the book value of the share of the net assets acquired is recognized as an equity transaction.

Changes in accounting policies and disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Amendments to PAS 7 and PFRS 7 – Supplier Financing Arrangements

Effective January 1, 2024, amendments to PAS 7, Statement of Cash Flows and PFRS 7, Financial Instruments: Disclosures introduced new requirements to enhance transparency regarding supplier financing arrangements. These amendments require entities to disclose:

- The terms and conditions of supplier financing arrangements;
- The carrying amounts of liabilities under these arrangements and their presentation in the statement of financial position;
- Changes in these liabilities during the reporting period, including cash flow and non-cash changes; and
- The liquidity risk associated with these financing arrangements and their impact on the entity's cash flow management.

As of September 30, 2025, the Group has no supplier financing arrangements.

Amendments to PFRS 16 – Lease Liability in Sale and Leaseback

The amendments to PFRS 16, Leases clarify the measurement of lease liabilities arising from sale and leaseback transaction. Under these amendments, the lease liability must reflect the payments required over the lease term, even if those payments vary, ensuring consistency with the initial recognition and measurement principles of PFRS 16. Entities are required to:

- Measure lease liabilities at the present value of expected lease payments;
- Recognize right-of-use assets based on the proportion of the asset retained by the seller-lessee; and

- Disclose the nature and financial impact of sale leaseback transactions, including any resulting gains or losses.

Amendments to PAS 1, Classification of Liabilities as Current or Non-current

The amendments clarify paragraphs 69 to 76 of PAS 1, Presentation of Financial Statements, to specify the requirements for classifying liabilities as current or non-current. The amendments clarify;

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments are effective for annual reporting periods beginning on or after January 1, 2023 and must be applied retrospectively. However, in November 2021, the International Accounting Standards Board (IASB) tentatively decided to defer the effective date to no earlier than January 1, 2024. The Management is still evaluating the impact of these new amendments.

Financial Risk Management Objectives and Policies

The Group's activities are exposed to a variety of financial risks: credit risk, liquidity risk, market risk and fair value estimates. The Group's overall risk management program seeks to minimize potential adverse effects on its financial performance and to make an optimal contribution to its revenues by managing these risks. The Parent Entity's risk management, vested thru the Board of Directors, focuses on actively securing its short to medium-term cash flows by minimizing the exposure to financial risks. Long-term financial investments are managed to generate lasting return

Management is aware of the following risks that the Company will face in the future as regards its mining project:

1. Mining metals and non-metals is essentially risky and expensive and faced with multiple problems.
2. The prices of commodities are always subject to fluctuations.
3. All governments change its heads and regulations are subject to unpredictable changes and government laws and regulatory policies and corporate governance poses hazards to plan, execute, and deliver on long-term projects.
4. The global weather is unpredictable.
5. Many governments are demanding larger and larger share of the profits. Higher taxes and rents are seen as management problems.
6. Terms of contracts may be subjected to unpredictable changes.

Management's Responses and Outlook

1. The Company's main goal is to explore for less risky exploration and exploitation minerals.
2. Shorten exploration period and look for the most economical ways to explore and conduct the latest geological and geophysical techniques to minimize risks of exploration.
3. Management will engage experts to utilize proven hedge and financial initiatives to mitigate and minimize the inherent risks of the volatility of commodities.
4. The Group is aware of the importance of community welfare and community relationship.

Financial risk factors

The Group's financial assets and liabilities, comprising mainly of cash and cash equivalents, trade and other receivables, available-for-sale investments and refundable deposits are exposed to a variety of financial risks. The management ensures that it has sound policies and strategies in place to minimize potential adverse effects of these risks in the Group's financial performance. The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options.

1. Credit Risk Management

Credit risk refers to the risk that a counterpart will default on its obligations resulting in financial loss to the Group. The Group has adopted a policy of dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults. Generally, the maximum credit risk exposure of financial assets is the carrying amount of the financial assets.

The credit risk for cash and cash equivalent is assessed by Management as low risk since these are deposited with reputable banks which have low probability of insolvency. The amount of the Group's trade and other receivables account is not material. The Group's maximum exposure to credit risk from the available-for-sale investments is equivalent to the fair value of the shares in the Philippine Stock Exchange (PSE). The Group has no investments in foreign securities. The total carrying amount of the financial assets composed of cash and cash equivalents, and other receivables, as presented in the financial statements as of September 30, 2025 is P3,013,818. These financial assets are not impaired and none are used for collateral or other credit enhancements.

2. Liquidity Risk Management

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities. The Group manages liquidity risk by maintaining adequate highly liquid assets in the form of cash and cash equivalents. Management has no knowledge of any other trends, demands, commitments, events or uncertainties that would have material impact on the groups liquidity. A call of subscription receivable by the Board of Directors of the Parent Entity is an alternative to raise cash. The major stockholders have committed to make advances to the Parent Entity to sustain its operations. A stockholder made a cash advance amounting to P1.3 million during the 3rd quarter of 2025. The current ratio as of September 30, 2025 is 1:19:1.

3. Market Risk Management

Market risk is the risk of loss to future earnings, to fair value or to future cash that may result from changes in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchange rates, commodity prices, equity prices and other market changes.

3.1 Interest rate and foreign currency risk

The Group's exposure to the risk of changes in interest rates is minimal since its cash and cash equivalents have fixed interest rates not affected by interest rates in the market. The Group does not have any interest bearing notes payable and is therefore not affected by changes in interest rates. The Parent Entity is exposed to foreign currency risk primarily with respect to its monetary assets denominated in US Dollar which are used to cover the exploration and development costs of its mining project in Indonesia. The Parent Entity's financial position and financial performance are affected by the movements in the Philippine Peso to US Dollar exchange rates. Foreign currency risk arises when recognized assets and liabilities are denominated in a currency that is not the entity's functional currency.

The balance of the US Dollar denominated cash and cash equivalents was US\$ 45,513 on December 31, 2024 and US\$ 45,531 on September 30, 2025. Any unrealized gain/loss from foreign exchange rate is taken up at the end of the year.

3.2 Other Price Risk Sensitivity

The Parent Entity's market price risk arises from available-for-sale financial asset which is carried at fair value. It manages its risk from changes in market price by monitoring the changes in the market price of the investments.

Since there has been no available market value in the PSE since 2010 of Philcomsat Holdings, Corp. due to its suspension from trading the Company recognized impairment loss of P720,000 as of December 31, 2024.

Operating Segment

An operating segment is a component of an entity that (a) engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses relating to transactions with other components of the same entity; (b) whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and (c) for which discrete financial information is available.

In 2009, with the interest of the Parent Entity in mining, this business segment can be reported as an operating segment even though it is still in its exploratory stage. The business segment is organized and managed separately according to the nature of the services provided. A segment asset includes all operating assets used by a segment and consists of supplies, deposits, exploration and evaluation assets, property and equipment (net of accumulated depreciation),

With the granting of rights of exploration, development and operation of the mining concessions in Indonesia, as of September 30, 2024 there is nothing to report on mining business segment while the total segment assets under exploration and evaluation asset account amounts to P50,472,348 since December 31, 2016 broken down into acquisition of rights to explore amounting to P11,795,500 and geophysical studies amounting to P38,676,848. There has been no disbursement pertaining to the mining project from 2016 to September 30, 2025.

Management decided to record an impairment loss on the exploration and evaluation assets account for three (3) years. The financial Statements of the Company as of December 31, 2022 showed as impairment loss in the amount of P16.8 million and another P16.8 million was recognized in the year 2023. On December 31, 2024 the final P16.8 million impairment loss was recorded.

Management has no knowledge of any other trends, demands, commitments, events, or uncertainties that would have material impact on the Group's liquidity. The Group look at its current assets as source of liquidity. The Group still expects to collect some subscription receivables from its by way of a formal call by the board of directors. Management has no knowledge of any other trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on the Group's operations. Management is not aware of any significant elements of income or loss that did not arise from the Group's operations nor were there any seasonal aspects that had material effect on the financial condition of the Group during the period covered by this report.

Except for the current financial obligation; there are no events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period.

As at the end of the 3rd quarter of year 2025, the Group was not in default in any of its indebtedness. It has enough resources or can raise resources, if necessary, in order to meet any of its obligations and implement its planned activities. It does not foresee any liquidity problem in the coming quarters.

PART III – OTHER INFORMATION

All material events and / or matters during the period covered by this report were disclosed under SEC Form 17-C. There are no other material matters/events during the period covered by this report which are required by SEC to be disclosed that are not disclosed with SEC.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer

IMPERIAL RESOURCES, INC.

Signature and Title

JESUS VICENTE B. CAPELLAN
Corporate Secretary

Date

October 27, 2025

Signature and Title


VILMA B. VILLANUEVA
Comptroller/Assistant Treasurer

Date

October 27, 2025